

FundsIndia Stable Growth 25

Feb 2025



How do we outperform the index?

The search for the holy grail..

Figure 7: Factor investing – The origins

1960s	1970s	1980s	1990s	2000s	2010s
1964 The separation of beta and alpha: Using Markowitz's mean variance analysis, Sharpe, Lintner and Mossin develop the Capital Asset Pricing Model (CAPM)	1972 Low Volatility: Haugen and Heinz find that low volatility stocks realize extra risk-adjusted returns 1973-76 Robert Merton's Intertemporal Capital Asset Pricing Model and Richard Roll's arbitrage Pricing Theory establish a theoretical framework for factor investing	1981 Size: Banz finds that small cap stocks outperform large caps 1981 Basu shows that low PE stocks generate higher returns than high PE stocks 1981-85 Shiller, DeBondt and Thaler start gathering evidence against market rationality 1983 Invesco launches its 1st quantitative strategy	1992 Size and value: Fama/French 3-factor model adds size and value to the market factor 1993 Momentum: Jegadeesh and Titman analyze a momentum factor 1997 Carhart finds that a 4-factor model including momentum improves performance	2008 Asset growth: Cooper, Gulan and Schill find that asset growth predicts future returns 2009 Norges Bank Investment Management (NBIM) review approach to Active Management (Ang, Goetzman & Schaefer)	2008 Profitability: Novy-Marx shows that operating profitability predicts future returns. 2015 Hou, Xue and Zhang's q-model based on profitability and asset growth dominates long-established ones. 2015 Fama and French add operating profitability and asset growth to their model, giving rise to the 5-factor model

Source: Invesco. Illustrative examples of macro and style factors.

6 different recipes for outperformance



VOLATILITY



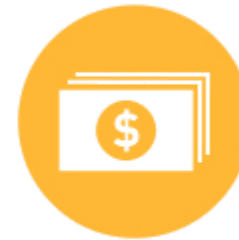
YIELD



QUALITY



MOMENTUM



VALUE



SIZE

6 different recipes for outperformance

**Not many
Options!**



VOLATILITY



YIELD



QUALITY



MOMENTUM



VALUE



SIZE

Nifty 200
Momentum 30,
Nifty Alpha 50 etc..

Mid & Small cap
funds

Axis, MOSL, SBI etc

ICICI Pru, HDFC etc

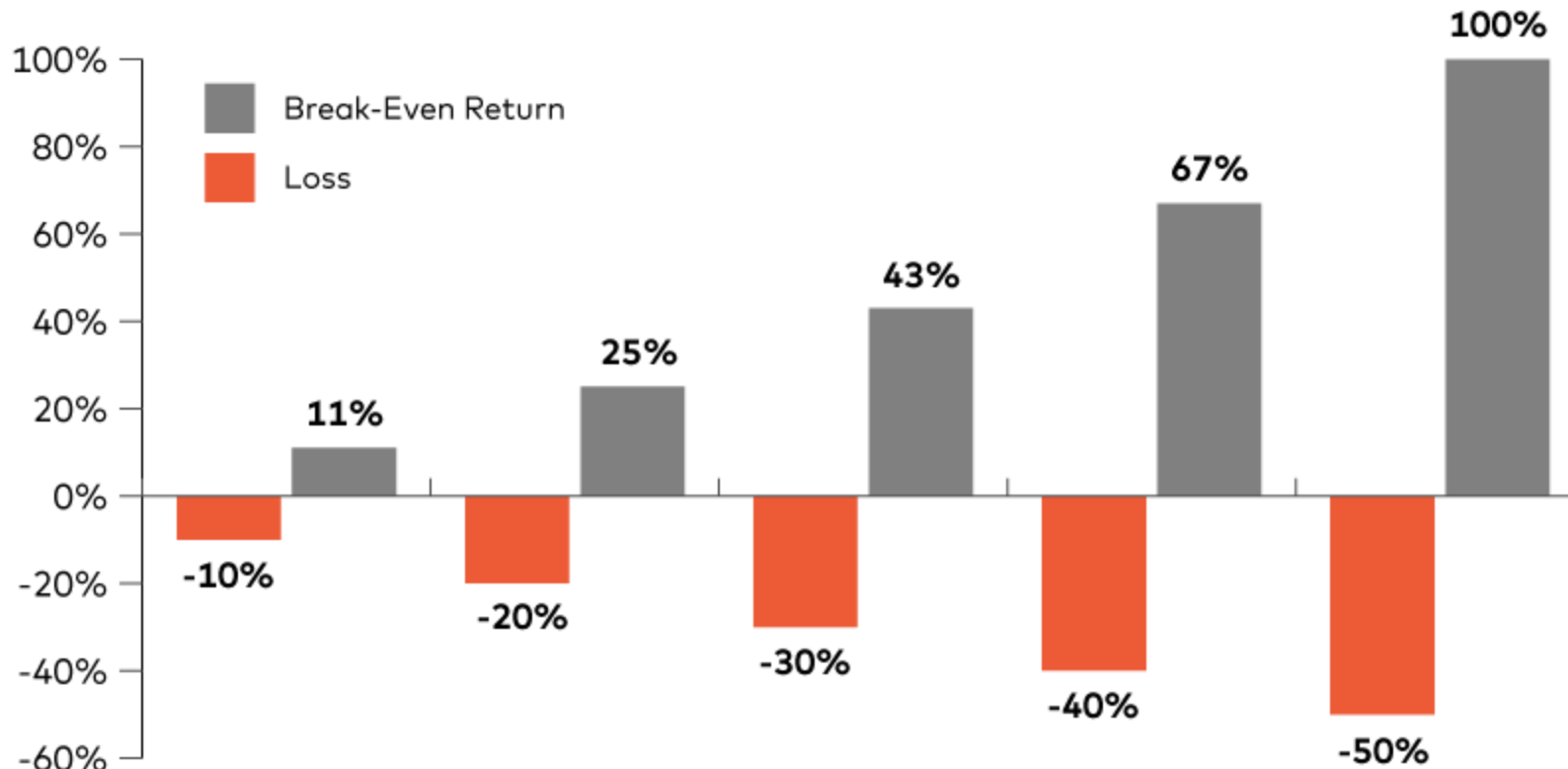
What is the Low Volatility factor?

This is a simple factor which says:

A group of stocks which has had relatively far smoother price movements in the recent past (read as lower fluctuations). They usually tend to outperform the broader benchmark over the long run.

Secret Behind Low Volatility Strategies...

Breaking even: Large losses require larger gains



Source: AGF Investments Inc. Illustration is for example purposes only

Minimize Downside!

**\$16.5 trillion in
AUM**

benchmarked to MSCI
equity indexes.¹

**280,000+
equity indexes**

calculated daily –
16,300+ in real time.²

**1,400+ equity
ETFs**

linked to MSCI indexes.³

55+ years

representing and
measuring global equity
markets.

Based on Factor Index methodologies by MSCI
(Erstwhile Morgan Stanley Capital International)

What is FundsIndia Stable Growth 25?



FundsIndia in **collaboration** with **MSCI** presents

FundsIndia Stable Growth 25

A global algorithm adapted for the Indian customers

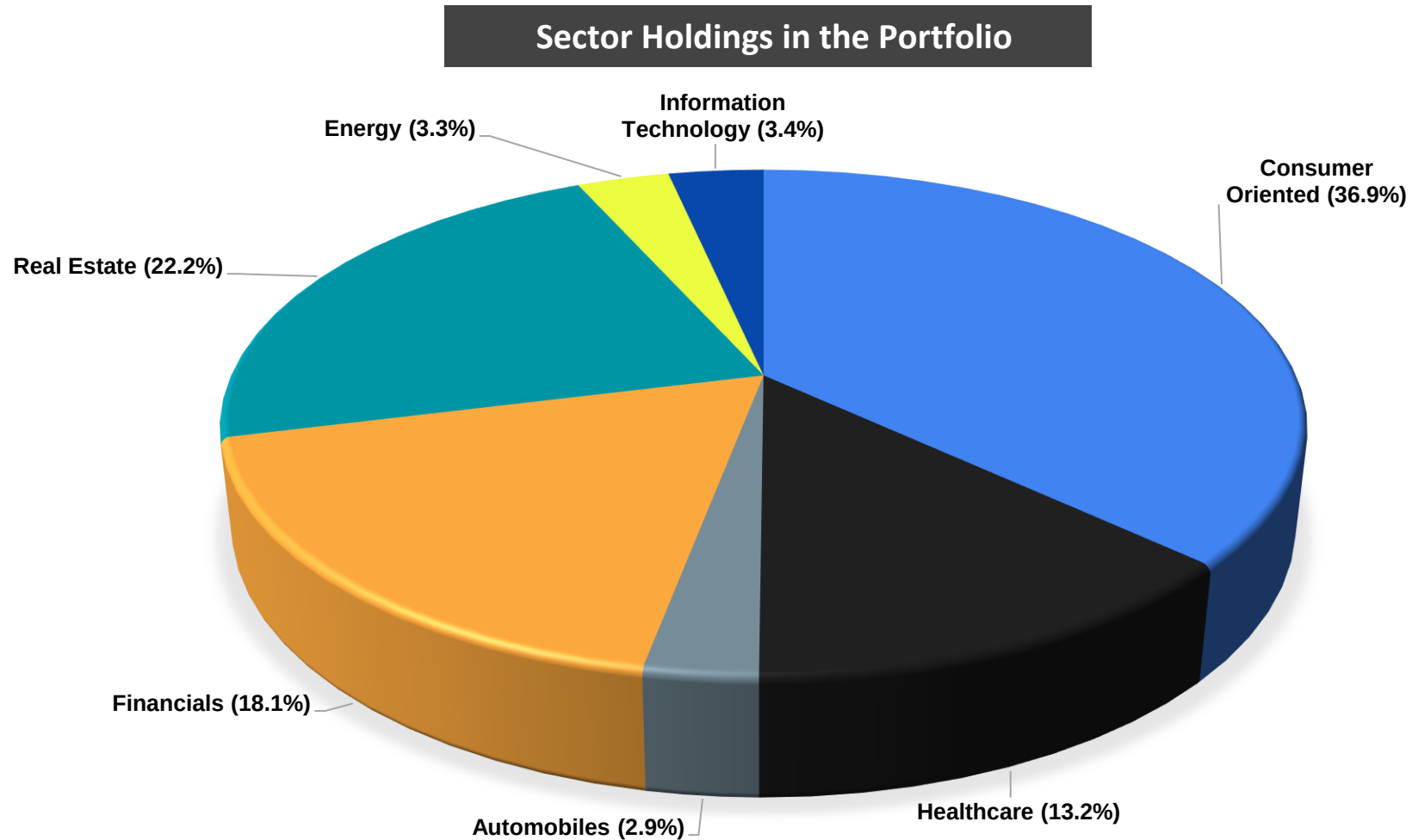
- Based on **Morgan Stanley Capital International's (MSCI) Risk-Weighted methodology**

What does the model do?

- **Focused exposure to 25 low volatile** stocks
- Chooses 25 stocks with lowest volatility from MSCI India Universe – Lower the volatility higher the weightage
- Automated design and **rule-based** working
- **Strong Risk Controls - Maximum stock weightage is capped at 10%**
- **Rebalanced every six months** (June and December of every year)

Methodology

- Total Stocks: 25
- Top 10 Stocks: 51% of the portfolio
- Large Cap: 58%
- Mid Cap: 3%
- Small Cap: 16%
- REIT: 22%



Note: As on 31-Jan-25. Market capitalization classified based on SEBI Categorization

Portfolio Constituents

Company Name	Weight	Sector
Mindspace Business Parks REIT	9.9%	Real Estate
Brookfield India Real Estate Trust	7.3%	Real Estate
Embassy Office Parks REIT	5.0%	Real Estate
Nestle India Ltd.	4.6%	Consumer Oriented
Kotak Mahindra Bank Ltd.	4.5%	Financials
Britannia Industries Ltd.	4.3%	Consumer Oriented
Bharti Airtel Ltd.	4.3%	Consumer Oriented
HDFC Bank Ltd.	3.7%	Financials
ICICI Bank Ltd.	3.7%	Financials
Sun Pharmaceutical Industries Ltd.	3.6%	Healthcare
Dabur India Ltd.	3.6%	Consumer Oriented
ITC Ltd.	3.5%	Consumer Oriented
Colgate-Palmolive (India) Ltd.	3.5%	Consumer Oriented
Tata Consultancy Services Ltd.	3.4%	Information Technology
Marico Ltd.	3.4%	Consumer Oriented
Hindustan Unilever Ltd.	3.4%	Consumer Oriented
Procter & Gamble Health Ltd	3.4%	Consumer Oriented
Pfizer Ltd.	3.3%	Healthcare
Reliance Industries Ltd.	3.3%	Energy
Dr. Reddy's Laboratories Ltd.	3.2%	Healthcare
Relaxo Footwears Ltd.	3.1%	Consumer Oriented
SBI Life Insurance Company Limited	3.1%	Financials
ICRA Ltd.	3.1%	Financials
Torrent Pharmaceuticals Ltd.	3.1%	Healthcare
Sundram Fasteners Ltd.	2.9%	Automobiles

Sector-wise Split

Consumer Oriented	
Nestle India Ltd.	4.6%
Bharti Airtel Ltd.	4.3%
Britannia Industries Ltd.	4.3%
Relaxo Footwears Ltd.	3.1%
ITC Ltd.	3.5%
Dabur India Ltd.	3.6%
Colgate-Palmolive (India) Ltd.	3.5%
Hindustan Unilever Ltd.	3.4%
Marico Ltd.	3.4%
Procter & Gamble Health Ltd	3.4%
Total	36.9%

Financials	
Kotak Mahindra Bank Ltd.	4.5%
HDFC Bank Ltd.	3.7%
ICICI Bank Ltd.	3.7%
ICRA Ltd.	3.1%
SBI Life Insurance Company Limited	3.1%
Total	18.1%

Energy	
Reliance Industries Ltd.	3.3%
Total	3.3%

Healthcare	
Pfizer Ltd.	3.3%
Sun Pharmaceutical Industries Ltd.	3.6%
Dr. Reddy's Laboratories Ltd.	3.2%
Torrent Pharmaceuticals Ltd.	3.1%
Total	13.2%

Information Technology	
Tata Consultancy Services Ltd.	3.4%
Total	3.4%

Automobiles	
Sundram Fasteners Ltd.	2.9%
Total	2.9%

REIT	
Mindspace Business Parks REIT	9.9%
Brookfield India Real Estate Trust	7.3%
Embassy Office Parks REIT	5.0%
Total	22.2%

Model outperforms benchmark by ~4% in the last 10 years



Scheme	1Y	3Y	5Y	7Y	10Y	Since Inception (30-May-08 to 31-Jan-25)
FI SG 25	18.1%	17.7%	17.5%	14.9%	15.5%	16.7%
Nifty 50 TRI	9.6%	12.0%	15.8%	12.8%	11.7%	11.2%
Nifty 500 TRI	10.1%	14.3%	18.2%	13.3%	12.9%	12.0%
Outperformance vs						
Nifty 50 TRI	8.5%	5.7%	1.7%	2.1%	3.9%	5.5%
Nifty 500 TRI	8.0%	3.4%	-0.7%	1.5%	2.6%	4.8%

Note: As on 31-Jan-25

Outperforms MF peers over the long term

Scheme Name	10 Y Returns (31-Jan-15 to 31-Jan-25)
Parag Parikh Flexi Cap Fund-Reg(G)	17.4%
HDFC Flexi Cap Fund(G)	14.0%
ICICI Pru Bluechip Fund(G)	12.9%
Kotak Flexicap Fund(G)	12.6%
SBI BlueChip Fund-Reg(G)	11.9%
ICICI Pru Value Discovery Fund(G)	14.3%
Nippon India Multi Cap Fund(G)	13.4%
Mirae Asset Large Cap Fund-Reg(G)	12.2%
Mirae Asset Large & Midcap Fund-Reg(G)	16.7%
HDFC Large Cap Fund(G)	11.6%
Nippon India Large Cap Fund(G)	12.9%
SBI Focused Equity Fund-Reg(G)	13.4%
Axis Bluechip Fund-Reg(G)	11.0%
Aditya Birla SL Frontline Equity Fund(G)	11.3%
Kotak Equity Opp Fund(G)	14.1%
Canara Rob Emerg Equities Fund-Reg(G)	15.1%
HDFC Large and Mid Cap Fund-Reg(G)	12.9%
Aditya Birla SL Flexi Cap Fund(G)	12.8%
SBI Flexicap Fund-Reg(G)	12.5%
Invesco India Contra Fund(G)	14.8%

FI SG 25 Model Returns:

15.5%

Average Return of Largest 20
All Cap and Large Cap Funds:

13.4%

Average Return of All Cap
and Large Cap Category:

12.9%

**Rs 5 lakhs invested 10 years back is now Rs 21 lakhs
vs Rs 15 lakhs in Nifty 50 TRI**

Scheme	Value of Rs. 5 Lakh Invested 10 Y back
FI SG 25	21.2 lakhs
All Cap & Large Cap Top 20 Funds	17.6 lakhs
Nifty 50 TRI	15.1 lakhs
Nifty 500 TRI	16.8 lakhs

Did you know?



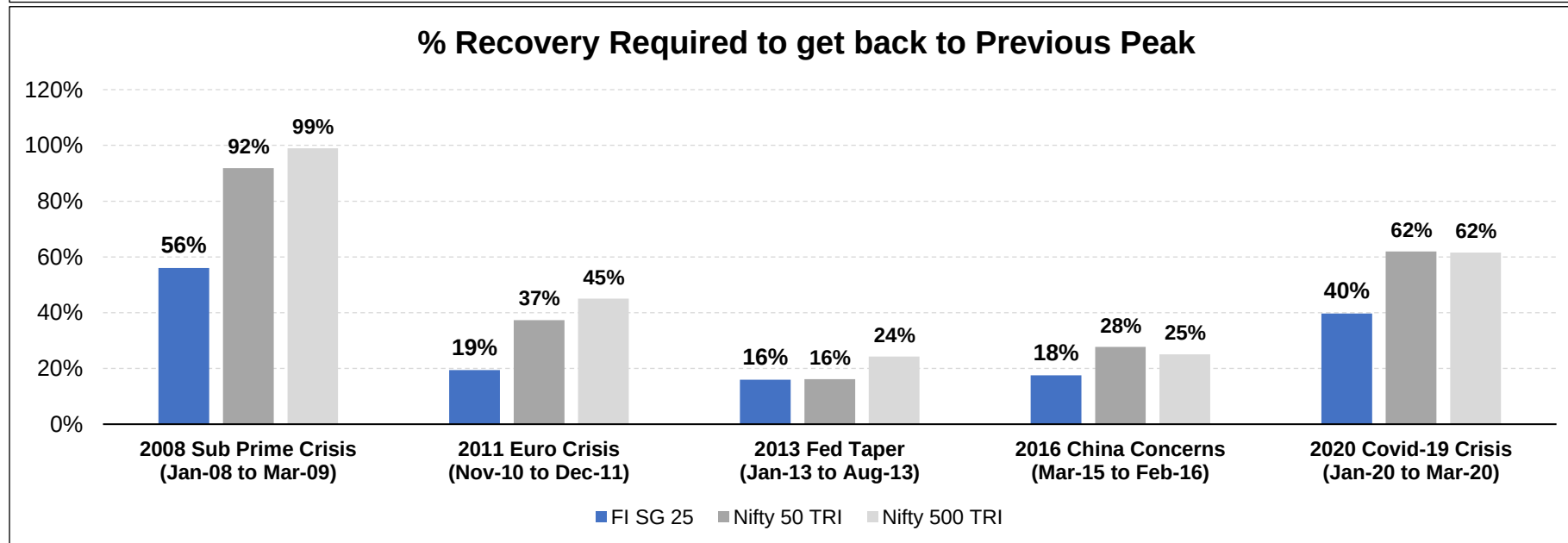
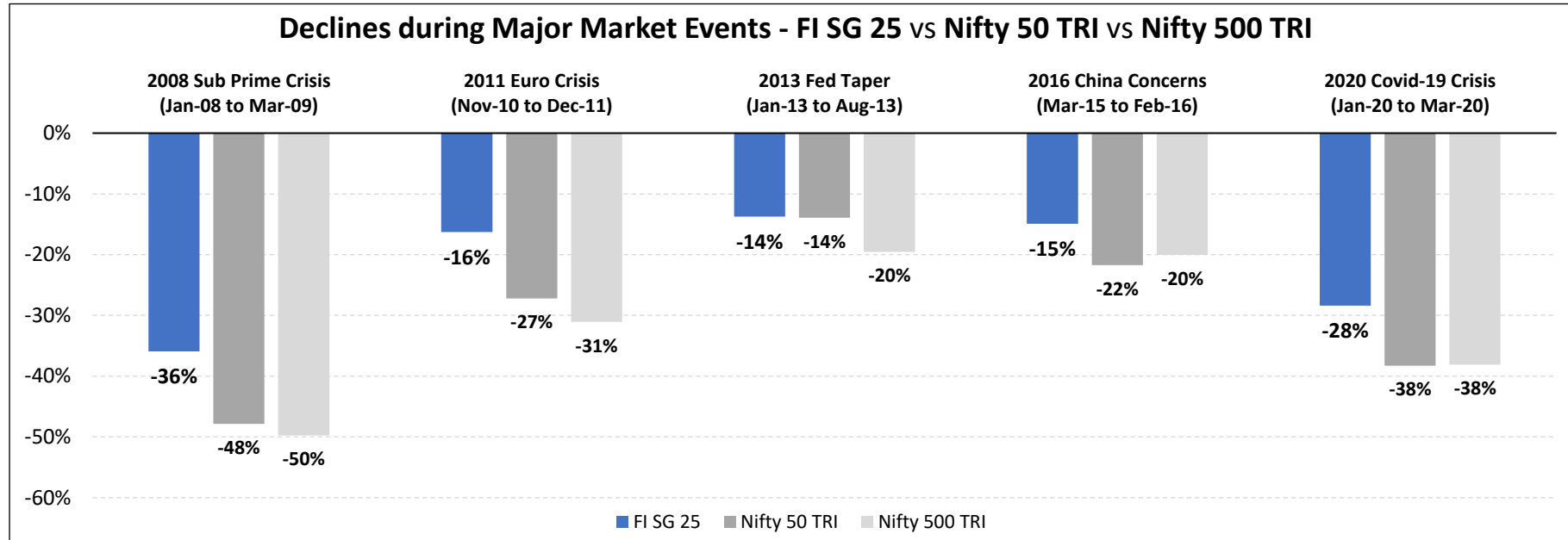
***91% of the times,
the
5-year rolling returns
of this model
has been
more than 12% CAGR***

Did you know?



**63% of the times, the
model has outperformed
Nifty 50 TRI by more than
3% if held for 5 years**

FI SG 25 Declined less than Major Indices during Major Market Decline Events



Lower declines in years where markets have fallen...

Returns By Calendar Year			
Year wise Returns	FI SG 25	Nifty 50 TRI	Nifty 500 TRI
2008 (May 30 to Dec 31)	-29%	-39%	-41%
2009	85%	78%	91%
2010	30%	19%	15%
2011	-12%	-24%	-26%
2012	20%	29%	33%
2013	8%	8%	5%
2014	51%	33%	39%
2015	12%	-3%	0%
2016	8%	4%	5%
2017	39%	30%	38%
2018	10%	5%	-2%
2019	8%	13%	9%
2020	16%	16%	18%
2021	22%	26%	32%
2022	1%	6%	4%
2023	31%	21%	27%
2024	18%	10%	16%
2025 (Jan 01 to Jan 31)	1%	0%	-3%

When will it outperform and underperform?

Low volatility strategy outperforms in volatile and bearish markets and underperforms in bull phases...



How has the strategy performed?

Actual Returns Since Launch

Scheme/Index	3 Months	6 Months	1 Year	2 Year	3 Year	5 Year	Since Our Launch 10-Oct-19 to 31-Jan-25
FI SG 25	-2.5%	0.7%	18.1%	26.4%	17.7%	17.5%	17.1%
Nifty 50 TRI	-2.7%	-5.3%	9.6%	16.7%	12.0%	15.8%	16.2%
Nifty 500 TRI	-4.7%	-7.9%	10.1%	21.4%	14.3%	18.2%	18.8%
Outperformance							
Nifty 50 TRI	0.2%	6.0%	8.5%	9.7%	5.7%	1.7%	0.9%
Nifty 500 TRI	2.2%	8.6%	8.0%	5.1%	3.4%	-0.7%	-1.7%

1% all inclusive

(No brokerage charges)

FI SG 25 Portfolio

- Expense Ratio : 1%
- Minimum Investment : Rs 5 lakhs
- Algorithm Driven, Unbiased
- Exit Load : 0%

Equity PMS

- Expense Ratio : 2 to 2.5% + other charges (Upfront setup fee + Performance fee)
- Minimum Investment : Rs 50 lakhs
- Fund Manager Driven
- Exit Load : 0 – 3%

- **Higher Returns + Consistent Performance** - If held for 5 years,
 - *91% of the times returns were >12%*
 - *63% of the times, the model has outperformed Nifty 50 TRI by more than 3%*
- **Lower Risk + Defensive characteristics**
 - *Significant outperformance during market declines*
- **Concentrated portfolio + Moderate turnover**
- **Bias-Free, Automated, Half-yearly portfolio rebalancing** based on smart and time-tested algorithms
- **Suited for investors with a 5+ year time horizon and looking for long term outperformance via a defensive strategy**

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